

d. Trading policy of the British

All the policies implemented by the British government in India had a deep impact on India's indigenous industries. Free trade policy followed by the East India Company compelled the Indian traders to sell their goods below the market prices. This forced many craftsmen to abandon their ancestral handicraft talents. East India Company's aim was to buy the maximum quantity of Indian manufactured goods at the cheapest price and sell them to other European countries for a huge profit. This affected the traditional Indian industry. The British followed the policy of protective tariffs that was much against the trading interests of India. Heavy duties were charged on Indian goods in Britain,but at the same time, the English goods entering India were charged only nominal duties.

e. De-Industrialisation

During the first half of 19th century western countries were experiencing industrialisation, India suffered a period of industrial decline.

The process of disruption of traditional Indian crafts and decline in national income has been referred to as de-industrialisation.

The Indian domestic industry could not have withstood foreign competition, which was backed by a powerful industrial organisation, big machinery, large-scale production. The difficulties in Indian industries was complicated further by the construction of Suez Canal, because of which transport cost was reduced, which made the British goods cheaper in India. The main cause for the decline of handicraft industry was the greater employment opportunities and income-generating effect of the modern factory.

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